Problem 2.25

Recording transactions and preparing financial statements ⋆ ⋆ LO2, 3, 5

Non-GST version

Financial balances for Ho Ming Wee, IT Consultancy, on 30 June 2024 are given below in a table in accounting equation form similar to the chapter illustrations.

			Assets				=	Liabilities			+	Equity
Cash at bank	+	Accounts receivable	+	Office supplies	+	IT equipment	=	Accounts payable	+	Loan payable	+	Ho Ming Wee, capital
$9 000	+	$14 250	+	$2 000	+	$20 875	=	$3 425	+	$9 750	+	$32 950

During the early part of July, the business entered into the following transactions.

1. **Paid $3260 on accounts payable.**
2. **Collected $4600 of the monies owed by clients.**
3. **Purchased IT equipment for $11 200. Paid $1200 in cash and signed a loan agreement for the balance.**
4. **Billed customers for IT services performed, $9820.**
5. **Purchased supplies on credit, $2100.**
6. **Paid expenses in cash, $9400 (advertising, $2000; rent, $6000; wages, $1400).**
7. **Used $600 of supplies during the period.**
8. **Collected $9650 of accounts receivable.**
9. **Ho Ming Wee paid for a $21 000 family holiday to Europe using the firm's bank account.**

Required

(a) List the 30 June balances for assets, liabilities and equity in table form.

(b) Record the effects of each transaction. Show the total of each column after recording each transaction as illustrated in the text.

(c) Prepare a statement of financial performance and a statement of changes in equity for the month and a statement of financial position in narrative format as at 31 July 2024.

(d) Discuss if these financial statements are useful for the owner/manager of the business.

(a) and (b)

	Assets								=	Liabilities			+	Equity
	Cash at bank	+	Accounts receivable	+	Office supplies	+	Office equipment		=	Accounts payable	+	Loan payable	+	Ho Ming Wee, capital
	$9 000	+	$14 250	+	$2 000	+	$20 875		=	$3 425	+	$9 750	+	$32 950
(1)	– 3 260									– 3 260				
	5 740	+	14 250	+	2 000	+	20 875		=	165	+	9 750	+	32 950
(2)	+4 600		– 4 600											
	10 340	+	9 650	+	2 000	+	20 875		=	165	+	9 750	+	32 950
(3)	– 1 200					+	11 200				+	10 000		
	9 140	+	9 650	+	2 000	+	32 075		=	165	+	19 750	+	32 950
(4)		+	9 820										+	9 820
	9 140	+	19 470	+	2 000	+	32 075		=	165	+	19 750	+	42 770
(5)				+	2 100					+ 2 100				
	9 140	+	19 470	+	4 100	+	32 075		=	2 265	+	19 750	+	42 770
(6)	– 9 400													– 9 400
	(260)	+	19 470	+	4 100	+	32 075		=	2 265	+	19 750	+	33 370
(7)					– 600									– 600
	(260)	+	19 470	+	3 500	+	32 075		=	2 265	+	19 750	+	32 770
(8)	+ 9 650		– 9 650											
	9 390	+	9 820	+	3 500	+	32 075		=	2 265	+	19 750	+	32 770
(9)	– 21 000													– 21 000
	(11 610)*	+	9 820	+	3 500	+	32 075		=	2 265	+	19 750	+	11 770

*Note: Cash at Bank account has a negative balance as there is not enough cash to pay for the family holidays. In this case, the business would use an overdraft facility (i.e. short-term borrowing) from bank to temporarily cover for the deficit. A bank overdraft is shown as a liability rather than a negative asset.

(c)

HO MING WEE — IT CONSULTANCY Statement of financial performance for the month ended 31 July 2024		
INCOME		
IT Service Fees		$9 820
EXPENSES		
Wages expense	$1 400	
Rent expense	6 000	
Advertising expense	2 000	
Supplies expense	600	
		10 000
LOSS		$180

HO MING WEE — IT CONSULTANCY Statement of changes in equity for the month ended 31 July 2024	
Ho Ming Wee, capital – 1 July 2024	$32 950
Less: Loss for the month	180
	32 770
Less: Drawings during the month	21 000
Ho Ming Wee, capital – 31 July 2024	$11 770

HO MING WEE — IT CONSULTANCY Statement of financial position as at 31 July 2024	
ASSETS	
Accounts receivable	9 820
Office supplies	3 500
Office equipment	32 075
TOTAL ASSETS	$45 395
LIABILITIES	
Bank overdraft	11 910
Accounts payable	2 265
Loan payable	19 450
TOTAL LIABILITIES	$33 625
NET ASSETS	**$11 770**
EQUITY	
Ho Ming Wee, capital	11 770
TOTAL EQUITY	**$11 770**

(d) In the business Ho Ming Wee — IT Consultancy, Ho Ming Wee is assumed to be both the owner and manager of his business. Financial statements are useful as they provide information about an entity's financial performance and position. As a manager Ho Ming Wee would need more information in order to make decisions on day-to-day operations.

Financial statements are a summary of the business' financial performance and position. Hence, the information provided in the financial statements only pertains to the entity as a whole and is highly condensed. As a manager, Ho Ming Wee needs more detailed information (not just summary and total) such as break-down of income from different clients or depreciation on equipment, to help him in making decisions. Furthermore, if Ho Ming Wee's business has different divisions, the financial statements will not report details about each division. Ho Ming Wee would need more information about each division to make a comparison and evaluation for each division.

Another limitation of financial statements is that they only report historical financial information rather than forward looking information for business planning. As a manager, Ho Ming Wee also needs non-financial information, such as client's satisfaction rate, employee turnover, percentage of new clients and repeat business. Non-financial information is present and future-oriented, and will enable Ho Ming Wee to evaluate and plan.

In summary, although financial statements are useful in providing information about an entity's financial performance and positions, managers require more information than what is contained in the financial statements in order to make decisions about the entity's operations.

Problem 2.27

Recording transactions and preparing financial statements ⋆⋆ LO3, 4, 5

Non-GST version

Tran's Clothing Alterations began operations on 1 August 2024 and completed the following transactions during the first month.

1. **Tran deposited $18 000 of her personal funds in a current account at a bank opened in the name of the business.**
2. **Sewing equipment was purchased at a cost of $9000, of which $5000 was paid in cash. A loan payable was given for the remainder of $4000.**
3. **Tran collected $1500 from customers for alteration services performed.**
4. **Rent was paid for the month of August, $1200.**
5. **Sewing supplies amounting to $700 were purchased on credit.**
6. **Wages of $500 were paid as well as an account for electricity, $250.**
7. **Tran paid for the sewing supplies purchased in (5) above.**
8. **Supplies used during August amounted to $300.**

Required

(a) Prepare a schedule. List the following assets, liabilities and equity as column headings: Cash at bank; Supplies; Equipment; Loan payable; Accounts payable; Tran, capital.

(b) Illustrate the effects of each of the transactions on the accounts listed. Indicate totals after each transaction and complete the schedule.

(c) Prepare a statement of financial performance, a statement of cash flows and a statement of changes in equity for the month ended 31 August 2024.

(d) Prepare a statement of financial position as at 31 August 2023.

(a) and (b)

	Assets					=	Liabilities			+	Equity
	Cash at bank	+	Supplies	+	Equipment	=	Loan payable	+	Accounts payable	+	Tran, capital
(1)	+18 000									+	18 000
(2)	– 5 000			+	9 000		+4 000				
	13 000	+	0	+	9 000	=	4 000	+	0	+	18 000
(3)	+1 500									+	1 500
	14 500	+	0	+	9 000	=	4 000	+	0	+	19 500
(4)	– 1 200										– 1 200

	Assets					=	Liabilities			+	Equity
	Cash at bank	+	Supplies	+	Equipment	=	Loan payable	+	Accounts payable	+	Tran, capital
	13 300	+	0	+	9 000	=	4 000	+	0	+	18 300
(5)		+	700					+	700		
	13 300	+	700	+	9 000	=	4 000	+	700	+	18 300
(6)	– 750										– 750
	12 550	+	700	+	9 000	=	4 000	+	700	+	17 550
(7)	-700								– 700		
	11 850	+	700	+	9 000	=	4 000	+	0	+	17 550
(8)			– 300								– 300
	11 850	+	400	+	9 000	=	4 000	+	0	+	17 250

(c)

TRAN'S CLOTHING ALTERATIONS Statement of financial performance for the month ended 31 August 2024		
INCOME		
Services income		$1 500
EXPENSES		
Rent expense	$1 200	
Wages expense	$500	
Electricity expense	$250	
Supplies expense	$300	
		$2 250
LOSS		$750

TRAN'S CLOTHING ALTERATIONS Statement of cash flows for the month ended 31 August 2024		
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash received from customers	$1 500	
Cash paid to suppliers and employees*	$(2 650)	
Net cash used in operating activities		$(1 150)
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of equipment	$(5 000)	
Net cash used in investing activities		$(5 000)
CASH FLOWS FROM FINANCING ACTIVITIES		
Capital contribution from owner	$18 000	
Net cash from financing activities		$18 000
Net increase in cash held		$11 850
Cash at beginning of month		0
Cash at end of month		$11 850

* Cash paid to suppliers and employees = Rent $1200 + Wages $500 + Electricity $250 + Accounts Payable $700 = $2650

TRAN'S CLOTHING ALTERATIONS
Statement of changes in equity
for the month ended 31 August 2024

Tran, Capital – 1 August 2024	$ —
Add: Capital contribution	$18 000
Less: Loss for the month	$(750)
Tran, Capital – 31 August 2024	$17 250

(d)

TRAN'S CLOTHING ALTERATIONS
Statement of financial position
As at 31 August 2023

ASSETS			LIABILITIES		
Cash at bank	$	11 850	Loan payable	$	$4 000
Supplies	$	400	EQUITY		
Equipment	$	9 000	Tran, Capital	$	17 250
	$	**21 250**		$	**21 250**

Exercise 3.9

Recording transactions in general journal and analysis

The following information relates to the business of Man Ting's Travel Agency for the month of June 2025:

June	1	Man Ting Lau invested $120 000 cash into the new business.
	2	The business set up an office by purchasing some office equipment for $36 000 cash.
	3	Man Ting hired an assistant to deal with customers for an annual salary of $42 000, payable in monthly amounts.
	6	The assistant booked a holiday to Europe for a client, Wing Ho, for a total cost of $16 000 (unpaid at this stage). The commission to be kept by the business is 10% of the total cost of the trip when Wing Ho pays in full.
	15	Wing Ho pays $10 000 to Man Ting's Travel Agency. Of this amount, $4200 represents the total cost of air fares, which will be forwarded to the airline concerned; the remainder (excluding the travel agency's commission) is to be forwarded to a particular hotel chain to cover the client's accommodation.
	22	The business pays cash to the airline as payment for Wing Ho's trip.
	25	The appropriate amount of cash is paid to the hotel chain for Wing Ho's trip.
	30	The assistant is paid 1 month's wages in cash.

Required

(a) Prepare general journal entries to record the above events, as appropriate, in the accounting records of Man Ting's Travel Agency. Ignore GST.

(b) Explain why you have made each entry by providing analyses similar to those shown in the illustrative example in the chapter.

(LO4)

(a)

MAN TING'S TRAVEL AGENCY (ignore GST)

2025				
June	1	Cash at Bank	120 000	
		Man Ting Lau, Capital		120 000
		Cash contributed by owner.		
	2	Office Equipment	36 000	
		Cash at Bank		36 000
		Office equipment purchased for cash		
	3	No entry required		
	6	No entry required at this point (the booking may be cancelled!?)		
	15	Cash at Bank	10 000	
		Accounts Payable		9 000
		Commission Income		1 000
		Cash received as part payment for airlines and hotel.		
	22	Accounts Payable	4 200	
		Cash at Bank		4 200
		Cash paid to airline.		
	25	Accounts Payable	4 800	
		Cash at Bank		4 800
		Cash paid to hotel chain as part payment.		
	30	Wages Expense	3 500	
		Cash at Bank		3 500
		Cash paid for one month's wages to employee		

Note: Commission income is recognised above as cash is received even though, under the contract, the agency is not 'entitled' to the income until the client pays in full. An argument could also be put with students that the total commission income of $1600 could be recorded on 6 June, when the trip is booked for the client. Questions to consider:
Has the income been 'earned'?
Is it probable that it will be received?
[Use AASB 118 paragraph 20 (revenue from services) as a guide].

(b)

June	1	This transaction is an investment of cash assets into the business by the owner. A credit is made to the Capital account (equity) to reflect the increase in the owner's investment in the business, and the increase in the Cash at Bank account (asset) is recorded by a debit.
	2	The Office Equipment account is increased to record the purchase by debiting the account. At the same time, Cash at Bank is decreased by crediting the account for the amount of the cash paid.
	3	No entry is made at this time as the hiring of staff does not represent a transaction. The assistant is owed nothing as he/she has not yet performed any services for the business.
	6	No entry is made at this date as there is no clear evidence that the entity has performed services, and it is possible that the booking may be cancelled without any penalty. [However, an argument could be mounted that part of the income could be recognised if para. 20 if AASB 118 *Revenue* is considered to apply and the percentage of completion of the services can be determined in a faithful, verifiable manner.]
	18	This is an income transaction reflecting the amount of commission earned on the cash received to date from the client. Hence, an income account, called Commission Income, is credited for 10% of the cash received, and Cash at Bank is debited for the amount received from the customer. A liability, Accounts Payable, is credited to record the amount owing by the business to the airline and to the hotel chain.
	22	The Accounts Payable liability account was credited at that time the amount of cash was received from the customer. Now, the payment of the Accounts Payable to the airline is recorded by reducing the liability account (debit) and reducing the Cash at Bank account (credit) for the amount of $4800.
	25	The Accounts Payable liability account was credited at that time the amount of cash was received from the customer. Now, the payment of the Accounts Payable to the hotel chain is recorded by reducing the liability account (debit) and reducing the Cash at Bank account (credit) for the amount of $4200, namely $9000 – $4200.
	30	Wages are an expense of the business to reflect the cost of services received by the business from its employees. The business pays the assistant for the services he/she has rendered to the business for the month by crediting the Cash at Bank account and debiting the Wages Expense account.

Exercise 3.10

Recording transactions in general journal and general ledger

In December 2025, the following transactions occurred in Macchiato's Coffee Roasters business that supplies cafés and also sells direct to the public:

Dec.	2	Michael Macchiato invested $2 650 000 into the business of Macchiato's Coffee Roasters by purchasing a fully equipped coffee roasting business. The business acquired consisted of the following assets and liabilities.	
		Land	$1 200 000
		Building	1 000 000
		Coffee roasting equipment	420 000
		Office equipment	60 000
		Accounts payable	30 000
	5	Purchased some new roasting equipment on credit for $160 000.	
	6	Collected cash from customers for the month, $220 000.	
	12	Paid the accounts payable owing on 2 December when Michael purchased the business.	
	14	Purchased an insurance policy for the year for $6000 cash.	
	18	Purchased television advertising for the Christmas–New Year period for $8000 to be paid for in 30 days.	
	23	Collected fees in cash from customers for the Christmas–New Year period, amounting to $46 000.	
	30	Michael withdrew $8000 cash in order to pay for private Christmas presents and parties.	

Required
(a) Prepare general journal entries for each of the above transactions and events.
(b) Post the entries to ledger T accounts and balance the accounts as at 31 December 2025.
(LO3 and LO4)

(a)

MACCHIATO'S COFFEE ROASTERS
(ignore GST)

Dec.	2	Land	1 200 000	
		Building	1 000 000	
		Coffee Roasting Equipment	420 000	
		Office Equipment	60 000	
		Accounts Payable		30 000
		Michael Macchiato, Capital		2 650 000
		Assets and liabilities contributed by the owner		
	5	Coffee Roasting Equipment	160 000	
		Accounts Payable		160 000
		Purchase of roasting equipment on credit		
	6	Cash at Bank	220 000	
		Coffee Sales		220 000
		Cash received for coffee sales for December.		
	12	Accounts Payable	30 000	
		Cash at Bank		30 000
		Cash paid for creditor for roasting equipment.		
	14	Prepaid Insurance	6 000	
		Cash at Bank		6 000
		Cash paid in advance for insurance policy.		
	18	Advertising Expense*	8 000	
		Accounts Payable		8 000
		Advertising costs over the holiday period		
	23	Cash at Bank	46 000	
		Coffee Sales		46 000
		Coffee sales received for the holiday period.		
	30	Michael Macchiato, Drawings	8 000	
		Cash at Bank		8 000
		Cash withdrawn by owner		

* Alternatively, debit Prepaid Advertising (asset), as not all of the expense applies to the month of December.

(b)

Cash at Bank

Dec 6	Coffee Sales	220 000	Dec 12	Accounts Payable	30 000
23	Coffee Sales	46 000	14	Prepaid Insurance	6 000
			30	Michael Macchiato, Drawings	8 000
			31	Balance c/d	222 000
		266 000			266 000
31	Balance c/d	222 000			

Land

Dec 2	Macchiato, Capital	1 200 000			

Building

Dec 2	Macchiato, Capital	1 000 000			

Coffee Roasting Equipment

Dec 2	Macchiato, Capital	420 000			
5	Accounts Payable	160 000	Dec 31	Balance c/d	580 000
		580 000			580 000
31	Balance b/d	580 000			

Office Equipment

Dec 1	Michael Macchiato, Capital	60 000			

Prepaid Insurance

Dec 14	Cash at Bank	6 000			

Accounts Payable

Dec 12	Cash at Bank	30 000	Dec 2	Macchiato, Capital	30 000
31	Balance c/d	168 000	5	Coffee Roasting Equipment	160 000
			18	Advertising Expense	8 000
		198 000			198 000
			Dec 31	Balance b/d	168 000

Michael Macchiato, Capital

			Dec 2	Various Assets and Acc's payable	2 650 000

Michael Macchiato, Drawings

Dec 30	Cash at Bank	8 000			

Coffee Sales

			Dec 6	Cash at Bank	220 000
Dec 31	Balance c/d	266 000	23	Cash at Bank	46 000
		266 000			266 000
			31	Balance b/d	266 000

Advertising Expense

Dec 18	Cash at Bank	8 000			

Exercise 3.11

Analysing ledger accounts

Katrina's Computer Tech Services T accounts for 30 September 2026 were as follows.

Cash at bank

2/9	40 000	6/9	7 000
		13/9	12 000
		22/9	2 300

Computer equipment

6/9	22 000		

Vehicle

13/9	40 000		

Loan payable

		6/9	15 000
		13/9	28 000

Office supplies

22/9	2 300		

K. Lake, capital

		2/9	40 000

Required

Analyse the above accounts and describe in chronological order the transactions that have been recorded. (LO4)

2026		
Sept	2	Katrina Lake invested $40 000 cash into the business.
	6	Purchased computer equipment for $22 000 using cash, $7 000 and borrowed $15 000 from a financial institution.
	13	A vehicle was purchased for a cost of $40 000, the owner paying cash of $12 000 and the remaining $28 000 being borrowed from a financial institution.
	22	Purchased office supplies for $2300 cash.

Exercise 4.6

Adjusting entries and income statement

The income statement of Petra's Pest Control for the month of August 2024 shows a profit of $6800 based on:

Services revenue	$15 200
Wages expense	6 400
Supplies expense	1 100
Electricity expense	900

In reviewing the statement, you discover the following:

1. **Depreciation on equipment of $460 was omitted.**
2. **Supplies expense includes $320 of supplies that are still on hand at 31 August.**
3. **Insurance expired during August of $400 was omitted.**
4. **Accrued wages at 31 August amounting to $260 were not included.**
5. **Services provided but unrecorded totalled $1600.**

Required
(a) Prepare a corrected income statement for the month of August 2024. (LO3 and LO4)

(a)

PETRA'S PEST CONTROL Income Statement for the month of August 2024		
INCOME		
Services revenue		$16 800
EXPENSES		
Depreciation expense	$ 460	
Wages expense	6 660	
Supplies expense	780	
Insurance expense	400	
Electricity expense	900	
Total expenses		9200
PROFIT		7600

Exercise 4.12

Adjusting entries

Selected accounts of Arabella's Art Supplies are shown below at 30 June of the current year before any adjusting entries have been made.

	Debit	Credit
Prepaid Insurance	$ 4 500	
Supplies	720	
Shop Shelving	24 000	
Unearned Rental Fees		$ 4 800
Salaries Expense	32 600	
Rental Fees Revenue		13 200

Additional information

1. **Prepaid insurance represents premiums for 1 year paid on 1 April.**
2. **Supplies of $430 were on hand at 30 June.**
3. **Shop shelving, which had been purchased on 1 January, is expected to last 10 years and have a residual value of $2000.**
4. **Amanda collected 4 months' rent in advance on 1 June from a number of tenants.**
5. **Accrued salaries not recorded as at 30 June are $2400.**

Required

(a) Record in the general journal the necessary adjusting entries on 30 June. (LO3)

(a)

ARABELLA'S ART SUPPLIES
General Journal

Date	Particulars	Debit	Credit
June 30	Insurance Expense	1 125	
	Prepaid Insurance		1 125
	Insurance expired. ($4500 × 3/12)		
	Supplies Expense	290	
	Supplies		290
	Supplies used. ($720 – $430)		
	Depreciation Expense – Shop Shelving	1 100	
	Accumulated Depreciation – Shop Shelving		1 100
	Depreciation on office equipment. ($24 000 – $2000)/10 × 6/12 = $1100)		
	Unearned Rental Fees	1 200	
	Rental Fees Revenue		1 200
	Rental fees earned for one month. ($4800 ÷ 4)		
	Salaries Expense	2 400	
	Salaries Payable		2 400
	Accrued salaries.		